ANSWER KEY & MARKING SCHEME SET 1

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** a means to increase production and income	Credit is useful when income rises
2	**(b)** acceptance of cheques as payment	They are widely accepted
3	**(b)** Rs 8,50,000	85 per cent of 10 lakh
4	**(c)** lower interest	It reduces the burden of repayment
5	**(c)** banks and cooperatives	Formal sources charge lower interest
6	**(b)** also help in solving social problems	Beyond credit, they provide a platform
7	**(a)** rises	Higher rate means more to pay
8	**(c)** an informal source	Not supervised by RBI
9	**(b)** They are given from the group's own savings	Members decide the terms
10	**(d)** his bank account to the shopkeeper's account	Cheque is a payment order

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Provide loans from savings (1); At reasonable interest (1).	1+1
12	Cash reserve = Rs 30,000 (1); Lends Rs 1,70,000 (1).	1+1
13	They may have to pay very high interest (1); They may fall into a debt trap (1).	1+1
14	Interest = 20,000 x 8 / 100 (1); The interest for one year is Rs 1,600 (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	One may have collateral and the other not (1); Interest rates may vary (1); Mode of repayment may vary (1).	1+1+1
16	Members discuss in meetings (1); Loans from group savings (1); Interest is decided by the group (1).	1+1+1
17	Currency is directly handed over (1); Cheque orders bank to pay (1); Both discharge a payment (1).	1+1+1
	OR: The poor lack collateral (1); Banks have few branches in villages (1); The documents required are hard for the poor to produce (1).	1+1+1
18	Formal: lower interest and supervised (1); Informal: higher interest and no supervision (1); Informal increases risk of debt trap (1).	1+1+1
	OR: To ensure uniform acceptance (1); To avoid fake currency (1); Legal tender is the rupee issued by RBI (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	A farmer borrows at high interest to cultivate (1); The crop fails (1); The interest keeps accumulating (1); He may have to sell land (1); Cheap formal credit and Self-Help Groups can help avoid this (1).	1+1+1+1+1
	OR: Formal sources such as banks charge lower interest (1); The RBI supervises formal sources (1); Informal lenders charge higher interest (1); Borrowers of informal lenders have little protection (1); The risk of a debt trap is higher with informal credit (1).	1+1+1+1+1
20	Demand deposits can be withdrawn on demand (1); Cheques can be used to make payments from the deposits (1); Deposits are safe (1); Cheques are widely accepted (1); They work along with currency as money (1).	1+1+1+1+1
	OR: They lack collateral and documents (1); There are few bank branches in villages (1); Informal loans are easy to get (1); Solutions: Self-Help Groups and more bank branches (1); Simplified procedures for loans (1).	1+1+1+1+1

Mistakes to avoid:

- Saying that the **Government of India** or any bank can issue currency notes; in India only the **Reserve Bank of India** issues them on behalf of the central government.
- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.
- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.

- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

MASTERMIND

ANSWER KEY & MARKING SCHEME SET 2

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** collateral	Banks ask for collateral
2	**(c)** deposit more	Savings earn more
3	**(a)** high interest and uncertain income	Risk of debt trap
4	**(b)** Rs 2,000	20 x 100
5	**(c)** Rs 11,000	Rs 1,000 interest plus Rs 10,000
6	**(d)** credit should reach all sections, not only profit-making businesses	Credit for development
7	**(c)** debt trap	The borrower falls deeper in debt
8	**(d)** source of income	Banks earn from this margin
9	**(b)** shopkeeper cannot refuse the rupee	Law protects it
10	**(c)** a Self-Help Group	SHGs lend small loans

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	The difference is its main source of income (1); It must meet its costs and keep a profit (1).	1+1
12	Poor need small amounts (1); Easy repayment (1).	1+1
13	Protect depositors (1); Ensure loans reach small borrowers (1).	1+1
14	No need to carry cash (1); Transfers money between accounts (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	It is registered and works under rules (1); It lends to its members at lower interest than moneylenders (1); It is supervised by the RBI (1).	1+1+1
16	To verify identity and income (1); To reduce risk (1); But many poor find this hard (1).	1+1+1
17	It provides money for raw materials (1); It allows more workers to be hired (1); It helps in buying machines (1).	1+1+1
	OR: Currency: notes and coins (1); Demand deposits: bank accounts (1); Both used for payment (1).	1+1+1
18	The interest rates are very high (1); No agency supervises the lenders (1); Borrowers may lose their assets if they cannot repay (1).	1+1+1
	OR: A farmer takes a loan at a very high rate of interest (1); The amount to be repaid becomes large (1); Very little income is left for the family (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Barter needs double coincidence (1); Money is a medium of exchange (1); Facilitates specialisation (1); Cheque and deposits add convenience (1); Legal tender gives trust (1).	1+1+1+1+1
	OR: It helps farmers and small industries to carry on production (1); It increases production (1); It reduces the chance of a debt trap (1); It raises incomes (1); It reduces inequality (1).	1+1+1+1+1
20	SHGs are small groups of mostly women (1); Members' savings are pooled (1); Loans are given at reasonable interest (1); No collateral is demanded (1); Social issues are also discussed (1).	1+1+1+1+1
	OR: People deposit money, say Rs 10,00,000 (1); The bank keeps about 15 per cent as cash, which is Rs 1,50,000 (1); It lends the remaining Rs 8,50,000 (1); It charges higher interest on loans than it pays on deposits (1); The difference is the bank's income (1).	1+1+1+1+1

Mistakes to avoid:

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- Thinking that a cheque is money; a cheque is only a **paper instruction** to the bank, and the **demand deposit** is the money.

- Confusing **collateral** (borrower's asset kept as security) with **interest** (price paid for the loan) and forgetting that **terms of credit** include interest, collateral, documentation and repayment mode.
- Placing **cooperatives** among informal lenders; formal = banks and cooperatives; informal = moneylenders, traders, employers, relatives and friends.
- Writing that banks lend at the same rate they pay on deposits; they charge a **higher** rate on loans, and the difference is their main source of income.
- Believing credit always helps: it helps Salim, but pushes Swapna into a **debt trap** when her crop fails; the outcome depends on the risk and on support in case of loss.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 19: **Money and Credit (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** demand deposit	Withdrawable on demand
2	**(b)** 60 per cent	5 x 12
3	**(c)** formal sector	It is supervised
4	**(b)** a medium of exchange	He does not need the cloth seller to want rice
5	**(d)** a farmer giving rice to a carpenter for a chair	No money is used
6	**(b)** lending at a higher interest than they pay on deposits is their main source of income	Only a small part is needed as cash
7	**(d)** quick loan with few formalities	They find it easy to access
8	**(a)** They differ across lenders and borrowers	Interest, collateral and repayment vary
9	**(b)** a poor borrower	Hard terms
10	**(b)** a plot of land	Property owned by the borrower

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Provides working capital (1); Increases production and income (1).	1+1
12	Barter needs a double coincidence of wants (1); Money makes exchange easier (1).	1+1
13	Guarantee of repayment (1); Recover loan by selling it on default (1).	1+1
14	Easy and quick loans (1); Few documents or collateral (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	High cost reduces profits (1); Can lead to debt (1); Low-cost credit helps development (1).	1+1+1
16	Loan amount Rs 4,25,000 (1); Interest earned = Rs 42,500 (1); Interest paid on deposits = Rs 20,000 (1).	1+1+1
17	Farmer with wheat needs shoes (1); Shoemaker may not want wheat (1); No double coincidence of wants (1).	1+1+1
	OR: Open more bank branches in rural areas (1); Encourage Self-Help Groups (1); Simplify the documents required for loans (1).	1+1+1
18	Deposits provide funds to the bank (1); Only a small part is needed as cash for withdrawals (1); The remaining part is given out as loans (1).	1+1+1
	OR: Provide funds for loans (1); Build habit of saving (1); Reduce dependence on moneylenders (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	A farmer's loan for seeds and fertiliser raises production (1); A good harvest allows repayment and profit (1); If the crop fails, the loan cannot be repaid (1); Interest keeps accumulating (1); The farmer may fall into a debt trap (1).	1+1+1+1+1
	OR: It supervises the banks (1); It sees that banks keep a cash balance (1); It directs banks to lend to small borrowers also (1); It helps ensure stability of the banking system (1); It issues currency notes (1).	1+1+1+1+1
20	Collateral is a guarantee for the lender (1); The lender can sell it if the loan is not repaid (1); The poor often have no assets to offer (1); Hence they are denied formal loans (1); They turn to informal lenders, though SHGs can help (1).	1+1+1+1+1
	OR: The law authorises the rupee as a means of payment (1); No one can refuse payment in rupees (1); Only the RBI issues currency (1); It reduces the chances of fraud (1); Transactions become smooth (1).	1+1+1+1+1

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